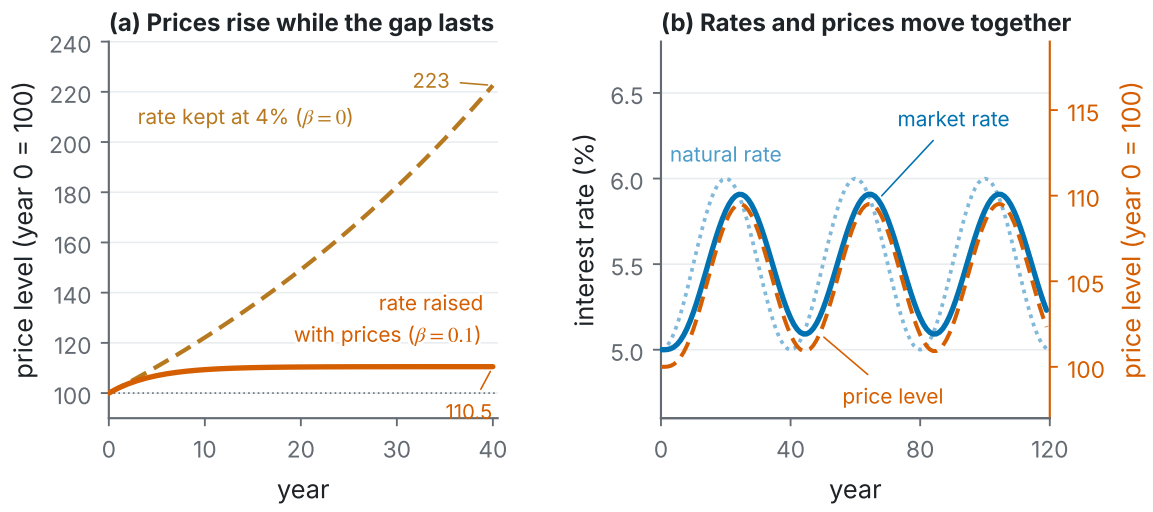
(a) Prices rise while the gap lasts
price level (year 0 = 100)
240
220
200
180
160
140
120
100
223
rate kept at 4% ($\beta = 0$)
rate raised
with prices ($\beta = 0.1$)
110.5
0
10
20
30
40
year
(b) Rates and prices move together
interest rate (%)
6.5
6.0
5.5
5.0
market rate
natural rate
price level
115
110
105
100
price level (year 0 = 100)
0
40
80
120
year